

This copy is for your personal, non-commercial use only. Distribution and use of this material are governed by our Subscriber Agreement and by copyright law. For non-personal use or to order multiple copies, please contact Dow Jones Reprints at 1-800-843-0008 or visit www.djreprints.com.

<https://www.wsj.com/articles/caterpillar-returns-to-growth-as-global-recovery-continues-1516887472>

BUSINESS • EARNINGS

Caterpillar Reports Robust Sales as Global Recovery Continues

The manufacturer's earnings break a four-year streak of declining sales; 3M also reports upbeat results

By Andrew Tangel and Bob Tita

Updated Jan. 25, 2018 at 6:29 pm ET



Caterpillar reported a loss in the fourth quarter, as it booked a one-time charge related to the tax law. Revenue rose 18% in 2017. ELISE AMENDOLA/ASSOCIATED PRESS

Caterpillar Inc., CAT **-2.05%** ▼ the world's largest maker of heavy machinery, said Thursday it broke a four-year streak of declining sales and signaled optimism about most of its construction and mining markets.

While the Deerfield, Ill.-based manufacturer didn't offer a revenue forecast for 2018, executives said they expect sales to continue their upswing this year.

“The global economy is the strongest it has been in several years, with nearly every region of the world expected to grow in 2018,” Chief Financial Officer Brad Halverson told Wall Street analysts.

Annual revenue jumped 18% to \$45.5 billion in 2017, following four consecutive years of weak sales of Caterpillar’s iconic yellow bulldozers, mining trucks and other equipment.

Caterpillar reported a loss in the fourth quarter, however, as it took a one-time charge related to changes to the U.S. tax code signed into law by President Donald Trump in late December. Much of the charge stemmed from a mandatory tax on stockpiled overseas profit. Earnings excluding the tax charges and other items topped analysts’ expectations.

The manufacturer said the largest increase in sales came from North America amid growth in demand for its heavy machines and aftermarket parts. About half of its sales growth in the Asia-Pacific region was attributed to China, due to increased building construction and infrastructure investment.

Caterpillar told investors it would benefit in the long term from the new, lower U.S. corporate tax rate, a greater ability to access overseas cash and a more level playing field between it and foreign competitors. Caterpillar said it expected an effective tax rate of 24% this year, down from 28% in 2017.

Mr. Halverson said in an interview the company wasn’t planning to alter its tax-reduction plan involving a Swiss subsidiary as a result of the tax law. Federal agents raided Caterpillar’s headquarters and two other locations last year in a probe focused on taxes and exports. The company hasn’t been accused of wrongdoing and has said it believes its tax position is correct.

Asked Thursday whether the new tax law would help resolve Caterpillar’s tax dispute, Chief Executive Jim Umpleby said: “It’s an ongoing discussion with the government.

We're cooperating, and we hope to get to a resolution in an expeditious manner."

Caterpillar had \$16 billion in overseas profit at the end of 2016. Mr. Halverson suggested potential uses of repatriated cash include funding the company's business as well as share buybacks and paying dividends.

Under Mr. Umpleby, Caterpillar has shifted its focus to profitable growth, rather than simply increasing revenue, and placed less emphasis on short-term results.

Caterpillar reported a 15% operating margin in 2017, up from 5% the previous year.

"We're really trying to focus on the long term here," said Mr. Umpleby, who took over as CEO at the start of 2017.

Overall for the fourth quarter, Caterpillar reported a loss of \$1.3 billion, or \$2.18 a share, compared with a loss of \$1.17 billion, or \$2 a share, a year earlier. On an adjusted basis, which strips out the impact of the tax charge and other factors, the company earned \$2.16 a share, higher than analyst expectations.

Revenue rose 35% in the quarter to \$12.9 billion. Analysts expected \$11.98 billion. In 2017, revenue increased to \$45.5 billion.

The company added 4,800 jobs in the U.S. last year, a shift following years of deep cuts in its labor force. Caterpillar said its domestic workforce rose to 50,500 employees, up from 45,700 at the end of 2016.

Caterpillar shares rose slightly in trading Thursday to \$169.37.

Another U.S. manufacturer, 3M Co., also reported upbeat results Thursday, saying fourth-quarter sales increased 9%, aided by expanding industrial activity globally and strong sales growth overseas, particularly in Asia. After years of lackluster sales growth, 3M is now racking up robust increases through its renewed focus on its electronics-and-energy business, whose customers include makers of semiconductors, data centers, automotive electrification and energy grids.

“These investments are paying off,” Chief Executive Inge Thulin said Thursday.

The St. Paul, Minn.-based maker of Post-it Notes, Scotch tape and Ace bandages raised its 2018 profit forecast, on the expectation of lower U.S. income taxes, to a range of \$10.20 to \$10.70 a share, up from \$9.60 to \$10 a share.

The new federal tax law also took a toll on 3M net income, which fell 55% in the quarter on expenses of \$762 million to comply with the new code. The company earned \$523 million, or 85 cents a share, compared with \$1.15 billion, or \$1.88 a share, a year earlier.

Shares of 3M rose 1.9% to \$252.36.

—*Austen Hufford contributed to this article.*

Write to Andrew Tangel at Andrew.Tangel@wsj.com and Bob Tita at robert.tita@wsj.com

Andrew Tangel is an enterprise reporter covering aviation safety and regulation for The Wall Street Journal. In this role, he has written about emerging aviation safety risks and other topics that may involve the Federal Aviation Administration and National Transportation Safety Board. Previously, Andrew covered the American aerospace...

Follow



Bob Tita covers manufacturing and metals industries from The Wall Street Journal's Chicago bureau. He writes about the business strategies and markets of major U.S. manufacturers, including Caterpillar Inc., Deere & Co. and United States Steel Corp. He covers the intersection of public and private companies and their customers in supply...

Follow



